

SECTION A – CASE QUESTIONS (TOTAL: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

CASE

ISPS Limited ("ISPS") is a start-up private company which offers Innovative Solar Panel Solutions to its customers. It specialises in building mini-scale solar energy systems for small grid homes, schools, factories, and commercial buildings. ISPS provides sales of solar panels and installation services to its customers.

Since incorporation, ISPS has successfully signed four contracts with its customers. The details of the contracts are set out below:

Contract number	Date of contract	Contract sum (HK\$)	Total costs (HK\$)	Gross profit/ (loss) (HK\$)	Margin %	Expected time of completion
C-001	1 August 2022	600,000	650,000	(50,000)	(8.3%)	April 2023
C-002	3 October 2022	600,000	380,000	220,000	36.7%	May 2023
C-003	15 October 2022	250,000	125,000	125,000	50.0%	December 2022
C-004	28 October 2022	950,000	450,000	500,000	52.6%	July 2023
	Total:	2,400,000	1,605,000			

ISPS's first two contracts achieved a relatively low or even loss margin because management is willing to lower its price to get credentials from the market. According to market statistics, the gross margin for sale of solar panels is relatively stable at around 50%, whilst the gross margin for installation service varies depending on the complexities of the installation. There is no market index in the industry that ISPS can make reference to as ISPS is at the start-up stage.

ISPS purchases solar panels from two suppliers. When customer contracts are signed, ISPS places purchase orders to these suppliers and requests the suppliers to ship the solar panels to the customers' premises directly. Accordingly, ISPS does not keep solar panels as its inventories. Both suppliers request ISPS to pay a 30% deposit when placing the purchase order, and the remaining balance is to be paid within 30 days after the goods are delivered.

ISPS is going to prepare its first financial statements for the period from the date of its incorporation (1 April 2022) to 31 December 2022. According to its accounting policy, revenue from the sale of solar panels is recognised at the point in time when control of the asset is transferred to the customer, generally on delivery of the solar panels. ISPS provides installation services that are bundled together with the sale of solar panels to a customer. Revenue from the provision of installation service is also recognised at the point in time when service is rendered, when customer acknowledgement is obtained. Contracts for bundled sales of solar panels and installation services are comprised of two performance obligations because the promises to transfer the solar panels and provide installation services are capable of being distinct and separately identifiable. Accordingly, the transaction price (i.e., the contract sum) is allocated based on the relative stand-alone selling prices of the solar panels and installation services.

The allocation of the sale of solar panels and installation services for ISPS's contracts is as follows:

Contract number	Total contract sum (HK\$)	Allocated sale of solar panels (HK\$)	Allocated installation services (HK\$)	Allocation % for sale of solar panels	Allocation % for installation services
C-001	600,000	420,000	180,000	70%	30%
C-002	600,000	420,000	180,000	70%	30%
C-003	250,000	125,000	125,000	50%	50%
C-004	950,000	850,000	100,000	89%	11%
Total:	2,400,000	1,815,000	585,000		

The respective margin earned from the sale of solar panels and installation services income is detailed below:

Contract number	Sale of solar panels			Installation services		
	Sale (HK\$)	Cost (HK\$)	Gross profit/(loss) (HK\$)	Installation services (HK\$)	Cost (HK\$)	Gross profit/(loss) (HK\$)
C-001	420,000	455,000	(35,000)	180,000	195,000	(15,000)
C-002	420,000	270,000	150,000	180,000	110,000	70,000
C-003	125,000	62,500	62,500	125,000	62,500	62,500
C-004	850,000	225,000	625,000	100,000	225,000	(125,000)
Total:	1,815,000	1,012,500		585,000	592,500	

ISPS has three operational departments: Engineering, Procurement and Finance. (1) The Engineering Department is responsible for submission of project plans and provision of workers for the installation of the solar panels. (2) The Procurement Department is responsible for sourcing the supplies of solar panels and other materials. (3) The Finance Department is responsible for financing, accounting, cash payments, and disbursement activities.

ISPS has purchased an accounting software from an external vendor. As ISPS does not have the source code, any system changes raised by ISPS would require the external vendor to process. The accounting software records the transactions for sales, purchases, cash receipts, and disbursements.

Management has implemented the following internal controls for its revenue recognition process as shown below:

	Description of internal controls	Manual controls	Information processing controls
IC#1	Sales are made to customers approved by the Engineering Department.	✓	
IC#2	The Engineering Department allocates the sales of solar panels and service income for each contract.	✓	
IC#3	Pre-numbered invoices are initiated by the Engineering Department.		✓
IC#4	The system records the revenue based on the issued invoices.	✓	✓

As extracted from the draft financial statements, the financial information relating to revenue and cost of sale and services for the period ended 31 December 2022 is as below:

	Notes	HK\$
Revenue		
- Sale of solar panels	1	1,815,000
- Installation service income	2	125,000
		<u>1,940,000</u>
Cost of sale and services		
- Sale of solar panels		1,012,500
- Installation service		62,500
		<u>1,075,000</u>
Gross profit		<u>865,000</u>

Notes:

1. This relates to the sale of solar panels for contracts C-001 to C-004. The solar panels were delivered to customers within one month after the contracts were signed.
2. Up to 31 December 2022, only contract C-003 has completed the installation and received the customer's acknowledgment. HK\$125,000 is recognised as installation service income for the current period.

CPA Limited has been engaged as ISPS's auditor to audit its first financial statements for the period ended 31 December 2022. You are the audit manager of this audit engagement team. The planning materiality is set at HK\$80,000.

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Question 1 (14 marks – approximately 24 minutes)

The audit team is now evaluating the effectiveness of internal controls IC#1 to IC#4 as set out in the case background in relation to ISPS's revenue recognition process and has considered that although certain controls are in place, internal controls to address the risk of material misstatements for different revenue-related assertions are still not adequate.

Required:

- (a) List which assertions are addressed by IC#1 to IC#4. (2 marks)
- (b) Identify additional risk of "What could go wrong" possibilities in the occurrence, accuracy, completeness and cut-off assertions in ISPS's revenue recognition process. (4 marks)
- (c) Based on Question 1(a) and Question 1(b) above, conclude the effectiveness of the design of ISPS's internal controls and propose test of controls and substantive procedures to audit the revenue of ISPS. Explain your answers. (8 marks)

Question 2 (12 marks – approximately 22 minutes)

The audit team has evaluated the revenue recognition accounting policy applied by ISPS and has concluded that it follows the relevant accounting standards. The audit team is satisfied that ISPS should recognise two revenue streams separately: (i) sale of solar panels, and (ii) installation service income. However, the audit team has identified that the process relating to the allocation of the sale amounts of solar panels and installation service income involves management estimates and the risk of misstatement is high, and accordingly, it could impact the revenue recognised in the current period.

Required:

- (a) Advise the factors and the situation applicable to ISPS which supports the audit team's evaluation of the risk of inappropriate allocation of the sale amounts of solar panels and installation service income to be high. (8 marks)
- (b) Analyse which contract may have an inappropriate allocation of the sale amounts of solar panels and installation service income. Explain your answers. (4 marks)

Question 3 (12 marks – approximately 22 minutes)

As at 31 December 2022, ISPS recorded the following trade payables and deposits for purchases of solar panels with its two suppliers.

	HK\$
Deposits for purchases of solar panels	
Supplier A	150,000
Supplier B	153,750
	303,750
Trade payables	
Supplier A	1,000,000
Supplier B	1,025,000
	2,025,000

The audit team has analysed these balances and has considered that both the "Deposits for purchases of solar panels" and "Trade payables" may be materially misstated.

Required:

- (a) Based on the facts provided in the case and the information above, analyse and identify the irregularities in the balances of "Deposit for purchases of solar panels" and "Trade payables" which require the audit team to perform further audit work.
(8 marks)
- (b) In view of Question 3(a), propose audit procedures to verify the "Deposits for purchases of solar panels" and "Trade payables" balances.
(4 marks)

Question 4 (12 marks – approximately 22 minutes)

ISPS has set up an independent board of directors to oversee its implementation of internal controls and corporate governance. During the audit planning meeting, the audit team communicated its plan to test the general information technology controls ("GITC") of ISPS's accounting software.

Required:

- (a) Design the procedures to test the GITC of ISPS's accounting software. (4 marks)
- (b) Subsequent to the audit planning meeting, the independent board of directors would like to further understand how the effectiveness of the GITC could impact the audit strategy relating to the reliance of application controls of ISPS.

Prepare a letter to the independent board of directors to analyse the impact of GITC effectiveness on the audit strategy relating to the reliance of application controls.

Note: A maximum of 2 marks for communication skills and 2 marks for analysis skills will be awarded.

(8 marks)

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End of Section A

SECTION B – ESSAY / SHORT QUESTIONS (TOTAL: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

Question 5 (12 marks – approximately 22 minutes)

Your partner won a new audit client — Easy Group, and you are the audit manager planning the audit engagement for the year ending 31 December 2023.

Easy Group operates a mobile payment services application — EasyPay, one of the most popular mobile payment applications in Hong Kong. To add new features to EasyPay, Easy Group created an integrated loyalty reward programme. By joining the programme, users are entitled to redeem coupons issued by e-commerce platforms and merchants ("vendor partners"). The vendor partners can use the application as a platform to carry out marketing activities, while Easy Group can generate revenue from these vendor partners by providing advertising space to carry out their marketing activities. Easy Group charges vendor partners based on a fixed percentage of the transaction amount in the application.

Easy Group raised several rounds of funding over the past few years from the existing major shareholders, Quicknet Limited and B-mall Limited, which are also two of the vendor partners that have joined the EasyPay network. As a strategic investor, Quicknet Limited also provides regular consultancy services free of charge and allows Easy Group to use its cloud computing services and servers at a discounted price. Easy Group has a few loans due to Quicknet Limited and B-mall Limited.

You understand from the finance manager of Easy Group that there is a related parties control list prepared by the former Chief Financial Officer (CFO). The loan arrangement and vendor fee between Quicknet Limited, B-mall Limited and Easy Group are being directly negotiated by the Chief Executive Officer (CEO), who has a close personal relationship. There is no loan agreement has been signed and the payment terms have not yet been defined and agreed upon with Quicknet Limited and B-mall Limited.

Required:

- (a) **Identify and evaluate the risk of material misstatements relating to the related party transactions in Easy Group's financial statements.**

Note: Assessment of control risks is not required in your answer.

(4 marks)

- (b) **Propose relevant audit procedures in response to the risk of material misstatements identified in Question 5(a).**

(4 marks)

- (c) **In the draft financial statements of Easy Group, you notice that Easy Group did not prepare related party disclosure notes as they want to avoid controversy among shareholders.**

Advise what you should do to uphold the relevant auditing standard requirements.

(4 marks)

Question 6 (14 marks – approximately 24 minutes)

You are currently performing an annual audit of a Hong Kong listed company, Redlife Limited ("Redlife"), for the year ended 31 December 2022. The audit is targeted to be completed by end of March 2023. Redlife is a clothing manufacturer and exports its products to a wholesaler in the United States ("US"). Therefore, Redlife holds certain bank accounts in the US.

On 1 March 2023, you were aware that B&B Bank with headquarters in the US had been closed and taken over by the regulator due to certain non-compliance and liquidity issues. B&B Bank is one of the principal banks of Redlife Limited and holds over 20% of Redlife's cash at bank balance as of 31 December 2022.

Required:

- (a) **Evaluate the implications of this subsequent event on your audit and propose relevant audit procedures you should perform.**
(8 marks)
- (b) **Describe the auditor's responsibilities in the Other Information section of a listed company's annual report.**
(3 marks)
- (c) On 20 March 2023, you conducted an updated search which revealed that the credit rating of B&B Bank had been downgraded from A- to D. You also noticed in the latest draft of the Management Discussion and Analysis section in the FY2022 annual report of Redlife, which is scheduled to be issued on 31 March 2023, that Redlife stated that it only transacted with financial institutions that have a credit rating grade B or above.

Despite you raising the concern related to the above disclosure to the management of Redlife, the Chief Executive Officer (CEO) considers it appropriate to keep the original disclosure in the Management Discussion and Analysis section in its annual report as he thinks the incident is only a subsequent event.

Based on above circumstances, advise your follow up procedures as an auditor.

(3 marks)

Question 7 (12 marks – approximately 22 minutes)

Castle Limited ("Castle") is a private company that operates a licenced cryptocurrency exchange in Hong Kong. YKL CPA Limited is a global audit firm registered in Hong Kong and has been the auditor of Castle since its incorporation. Gary has been the engagement partner of Castle and just completed the FY2023 statutory audit and is now working on the audit continuance assessment for FY2024. Jerry is the Chief Financial Officer of Castle.

- (a) Castle has recently completed its first statutory audit and wishes to promote itself as a pioneer in the industry that is audited by a global CPA firm. Castle plans to organise a series of marketing events where it can showcase its creditworthiness and attract potential customers and investors. Jerry invites Gary, in his capacity as Castle's audit partner, to speak at the joint public conferences of the marketing event.
- (b) Castle has recently set up an AI trading service and has decided to engage Gary and YKL CPA Limited for accounting advisory services. The services include assisting the company in setting up the contract terms with customers and the relevant revenue recognition policies under Hong Kong Financial Reporting Standards.
- (c) Jerry invited Gary to a marketing event dinner. During the dinner, Jerry suggested that he could introduce Gary to other cryptocurrency exchange founders at the event who might be potential audit clients. In exchange for the introduction, Jerry asked Gary if he could offer a discount on audit fees for the next year.

Required:

For each scenario above, evaluate if there is any independence threat to YKL CPA Limited and propose safeguards if necessary.

(12 marks)

Question 8 (12 marks – approximately 22 minutes)

Adrian is a non-HK resident and the Chief Executive Officer of BS Hong Kong Limited ("BSHK"), a Hong Kong private company. Adrian has recently taken up the director position of BSHK.

BSHK offers Adrian HK\$100,000 and HK\$3,000 retirement benefits as his director's emoluments. In addition, BS Global Limited ("BS Global"), the ultimate holding company of BSHK, has provided Adrian with certain employee benefits to reward his international secondment, including a HK\$1,000,000 interest-free home loan in his home country and share options over BS Global, subject to certain vesting conditions.

Required:

- (a) Explain the role and responsibilities as director of BSHK, from the perspective of the Hong Kong Companies Ordinance, in relation to the preparation of financial statements.
(3 marks)
- (b) Advise Adrian on the mandatory disclosure requirements related to the benefits and interest of directors in the BSHK's financial statement under the Hong Kong Companies Ordinance.
(4 marks)
- (c) BS Global is preparing its initial public offering (IPO) on the Main Board of Hong Kong Stock Exchange. Explain to Adrian the functions of the audit committee in a listed company.
(5 marks)

* * * END OF EXAMINATION PAPER * * *